

## 25STCV09624 25STCV09624

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Universal Genetics, LLC v. Kaiser Foundation

Health Plan, Inc.

25STCV09624

Defendant's Demurrer to Second Amended Complaint

Plaintiff's Motion for Protective Order

Tentative Ruling

The motion for a protective order is denied.

The demurrer is overruled.

Background

On April 1, 2025, Universal Genetics, LLC

("Plaintiff") filed a complaint against Kaiser Foundation Health Plan, Inc.

("Defendant") and Does 1 through 50, asserting causes of action for (1) unfair

competition and (2) common count. In the

complaint, Plaintiff alleged (among other things) that it was in the business

of providing in-home COVID-19 tests, that Defendant was obligated under both

federal and state law to reimburse providers for COVID-19 tests, and that

Defendant improperly denied approximately 100,000 claims for reimbursements.

On December 4, 2025, the Court sustained

Defendant's demurrer to the second cause of action with leave to amend.

On December 24, 2025, Plaintiff filed the First Amended Complaint (the "FAC"), asserting the same two causes of action against the same defendants.

On April 27, 2026, the Court sustained Defendant's demurrer to the second cause of action again, with leave to amend.

On May 18, 2026, Plaintiff filed the Second Amended Complaint (the "SAC"), asserting the same two causes of action against the same defendants.

Two motions are currently before the Court and set for hearing on September 14.

First, on May 27, 2026, Plaintiff filed a motion for a protective order. Defendant filed an opposition on July 1, and Plaintiff filed a reply on July 9. The hearing was initially set for July 16 and was continued to September 14.

Second on June 17, 2026, Defendant filed a demurrer to the SAC. Plaintiff filed an opposition on July 31, and Defendant filed a reply on August 6. The hearing was initially set for August 13 and was continued to September 14.

Trial is set for September 13, 2027.

#### Legal Standard

##### Motion for Protective Order

Code of Civil Procedure section 2025.420 states in part:

"(a) Before, during, or after a deposition, any party, any deponent, or any other affected natural person or organization may promptly move for a protective order. The motion shall be accompanied by a meet and confer declaration under Section 2016.040.

(b) The court, for good cause shown, may make any order that

justice requires to protect any party, deponent, or other natural person or organization from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense.”

Demurrer

Code of Civil Procedure section 430.10 provides:

“The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

...

(e) The pleading does not state facts sufficient to constitute a cause of action. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (Centinela Freeman Emergency Medical Associates v. Health Net of California (2016) 1 Cal.5th 994, 1010; Blank v. Kirwan (1985) 39 Cal.3d 311, 318; accord Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924; Marina Pacific Hotel and Suites v. Fireman’s Fund Insurance Company (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081; Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also *C.A. v. William S. Hart High School Dist.* (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint “is sufficient if it alleges ultimate rather than evidentiary facts.” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (*Estes v. Eaton Corp.* (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 Weil & Brown, *supra*, ¶ 6:124.)

A plaintiff is required to plead only “the essential facts of [its] case” that are sufficient “to acquaint a defendant with the nature, source and extent of [the] cause of action.” (*Doe, supra*, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (*Id.* at p. 551 fn. 5.) But a plaintiff need not allege “each evidentiary fact that might eventually form part of plaintiff’s proof” at trial. (*C.A., supra*, 53 Cal.4th at p. 872.)

A demurrer can be sustained only when it disposes of an entire cause of action. (*Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when “there is a reasonable possibility that the defect can be cured by amendment.” (*Centinela Freeman, supra*, 1 Cal.5th at p. 1010; *Blank, supra*, 39 Cal.3d at p. 318; *Shaeffer v. Califia Farms* (2020) 44 Cal.App.5th 1125, 1145.)

Request  
for Judicial Notice

In  
support of its opposition to the demurrer, Plaintiff asks the Court to take judicial notice of two Superior Court rulings.  
The request is granted, but the Court notes that a trial court ruling

has no precedential value.

Meet  
and Confer

The requirement for counsel to  
meet and confer is met for both the motion for a protective order and the  
demurrer. (Newborn Decl., ¶¶ 3-4 &  
Exh. C; Brooks Decl., ¶ 2.)

Discussion

Motion  
for Protective Order

Defendant initially noticed two  
depositions: (1) the deposition of Plaintiff's person most qualified on 29  
topics; and (2) the deposition of David Ku.  
(Newborn Decl., ¶ 2 & Exhs. A-B.)  
The depositions were noticed for consecutive days, to be taken in person  
at the office of Defendant's counsel in Costa Mesa, California.

Dr. David Ku is the managing member  
of Plaintiff. (Ku Decl., ¶ 2.) Plaintiff has designated Dr. Ku as the person  
most qualified to testify for Plaintiff on the topics in the deposition  
notice. (Ku Decl., ¶ 4.)

Plaintiff now moves for a protective  
order. Plaintiff seeks an order that Defendant  
be limited to one deposition of Dr. Ku (in both his individual and his  
representative capacity) and that the deposition be taken remotely, rather than  
in person. According to Dr. Ku, he works  
and lives in Florida, he has primary responsibility for the care of a young  
child, and he rarely visits Plaintiff's location in Los Angeles. (Ku Decl., ¶ 2.)

After the motion was filed, Defendant withdrew  
(at least for now) its deposition notice for Dr. Ku to testify in his  
individual capacity.

Plaintiff's request for a protective order to

preclude Defendant from deposing Dr. Ku in both his individual capacity and as a person most qualified has no merit and is denied. A deposition of a person most qualified serves different purposes than an individual deposition. The taking of one does not preclude the taking of the other.

Of course, Defendant cannot use two depositions (or one deposition) to harass Dr. Ku (or anyone else) with duplicative or unnecessary questioning. The Court has no reason to expect that any such misconduct will occur, but if this becomes an issue the Court retains ample authority to address it.

Plaintiff's request for a protective order to preclude Defendant from conducting the deposition of Plaintiff's person most qualified in person in California is also denied. The Court expects that issues relating to the location and manner of taking depositions will ordinarily be resolved through discussions among counsel. Where no agreement is reached, a party may generally insist on an in-person deposition of the opposing party within certain geographical limits. (Code Civ. Proc., § 2025.250, subd. (b).) This location may not be convenient for the person whom Plaintiff has designated as its person most qualified, but the evidence of inconvenience is not, on this record, sufficient to support Plaintiff's request for a protective order. Plaintiff will of course also be entitled to insist on an in-person deposition of Defendant's person(s) most qualified and that the deposition be taken within the geographical limits set by statute.

Plaintiff's motion for a protective order is denied.

Demurrer

Defendant

demurs to the Second Cause of Action in the SAC, arguing that it again fails to state facts sufficient to constitute a claim.

The Second

Cause of Action is labeled as "Common Count – Account Stated."

"A common count is not a specific cause of action ...; rather, it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness." (Avidor v. Sutter's Place, Inc. (2013)

212 Cal.App.4th 1439, 1454; accord *Camden Systems, LLC v. 409 North Camden, LLC* (2024) 103 Cal.App.5th 1068, 1082; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 394.) “A common count is proper whenever the plaintiff claims a sum of money due, either as an indebtedness in a sum certain, or for the reasonable value of services, goods, etc., furnished. It makes no difference in such a case that the proof shows the original transaction to be an express contract, a contract implied in fact, or a quasi contract.” (*Utility Audit Co., Inc. v. City of Los Angeles* (2003) 112 Cal.App.4th 950, 958; see also *Kawasho International, U.S.A., Inc. v. Lakewood Pipe Service, Inc.* (1983) 152 Cal.App.3d 785, 793; 4 B.E. Witkin, *California Procedure* (6th ed. 2021) Pleadings § 562.)

The basic elements of a cause of action for account stated are: (1) that the defendant owes money to plaintiff from previous financial transactions establishing a debtor-creditor relationship; (2) that the parties, by words or conduct, agreed that the amount that plaintiff claimed to be due from the defendant was the correct amount owed; (3) that the defendant, by words or conduct, promised to pay the stated amount to plaintiff; and (4) that the defendant has not paid some or all of the amount stated. (*Leighton v. Forster* (2017) 8 Cal.App.5th 467, 491; *Truestone Inc. v. Simi West Industrial Park II* (1984) 163 Cal.App.3d 715, 725; *Gleason v. Klamer* (1980) 103 Cal.App.3d 782, 786-787; *Zinn v. Fred R. Bright Co.* (1969) 271 Cal.App.2d 597, 600; CACI No. 373.) In certain contexts, if the plaintiff sends the defendant a statement of the account showing the amount, and if defendant fails to object within a reasonable time, the law may imply an agreement by defendant that the amount shown on the statement is correct, due, and owing. (*Trafton v. Youngblood* (1968) 69 Cal.2d 17, 25; *Maggio, Inc. v. McNeal* (1987) 196 Cal.App.3d 745, 752-753; *Gleason, supra*, 103 Cal.App.3d at p. 787.)

The Court

previously sustained demurrers to this cause of action. The Court determined that Plaintiff had failed to show that Defendant agreed to pay a specific amount due. (See Minute Orders dated December 4, 2025, and April 27, 2026.)

Although Plaintiff adds additional background allegations, this defect persists. There

is no allegation that Defendant, by words or deeds, agreed to pay an amount billed to it or otherwise stated by Plaintiff.

(See *Zinn v. Fred R. Bright Co.* (1969) 271 Cal.App.2d 597, 600 [stating

a plaintiff must show “a promise by the debtor, express or implied, to pay the amount due”].) Plaintiff has again failed to allege facts sufficient to support a cause of action for account stated.

The Court’s analysis, however, does not end there. The California Supreme Court and California Courts of Appeal have repeatedly stated that a general demurrer may not be sustained unless the allegations in the complaint fail to state a cause of action under any available legal theory.

(E.g., *Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998; *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39; *Adelman v. Associated International Ins. Co.* (2001) 90 Cal.App.4th 352, 359.)

Here, Plaintiff does allege facts that state a cause of action under an available legal theory: the SAC, as pleaded, asserts a cause of action for breach of an implied-in-fact contract.

The elements of a cause of action for breach of contract are: “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821; see also, e.g., *Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

In an implied-in-fact contract, “the existence and terms ... are manifested by conduct.” (Civil Code, § 1621.) “An implied-in-fact contract is based on the conduct of the parties.

Like an express contract, an implied-in-fact contract requires an ascertained agreement of the parties.” (*Unilab Corp. v. Angeles-IPA* (2016) 244 Cal.App.4th 622, 636.)

In the SAC, Plaintiff now alleges that in May 2023, it submitted an initial set of reimbursement claims to Defendant, billed at \$18 per test, and Defendant paid those claims without any objection. (SAC, ¶ 10.) Although subsequent claims were rejected, a Kaiser representative by the name of Carlo Rabaza acknowledged that the services provided by Plaintiff were eligible for reimbursement and stated that if the claims were resubmitted, the claims “would be processed and paid just as the previously approved claims were.” (SAC, ¶ 13.)

Plaintiff then resubmitted the claims, but they were not paid. (SAC, ¶¶ 14-15.) Plaintiff also alleges that Defendant was required to pay Plaintiff's claims for COVID-19 tests by federal and state law "without undue medical management or barriers to reimbursement." (SAC, ¶ 19.)

Taking these allegations as true, and drawing all reasonable inferences in favor of the Plaintiff, the Court determines that this is a sufficient allegation to support a cause of action for an implied-in-fact contract in which Plaintiff would provide services to Defendant's members and Defendant would pay Plaintiff for those services. Whether these allegations are true (and, if so, the price term of any implied-in-fact contract) will be decided based on the evidence.

The demurrer to the Second Cause of Action is overruled.

Conclusion

The Court DENIES the motion of Universal Genetics, LLC for a protective order.

The Court OVERRULES demurrer of Defendant Kaiser Foundation Health Plan, Inc..

Defendant Kaiser Foundation Health Plan, Inc. is to file an answer or other responsive pleading to Plaintiff's Second Amended by no later than September 30, 2026.

Moving party is ordered to give notice.